

NVIDIA Corporation (NVDA)

Post-earnings update & five-year outlook | September 9, 2026 | Price **\$223.70** (close, 9/9/26) | Market cap **~\$5.50T**

Prepared for Cam Wilbur, Portfolio Manager | Current position: **17 sh · 0.23% of NAV** (per 9/4/26 export) | Next earnings: **Nov 17, 2026 (Q3 FY27)**

RATING

ADD

Staged, concentration-aware

CONVICTION

7/10

Capped by circular-financing & ASIC risk

5-YR BASE TARGET

\$612

+22.8%/yr from \$223.70

5-YR WEIGHTED
VALUE**\$576**

+157% vs. today

TODAY'S POSITION

0.23%

17 sh · room to the 8% ceiling

FWD P/E (FY27E)

~24.0x

TRAILING P/E

28.5x

52-WK RANGE

\$164–\$237TTM REV
GROWTH**+83%**

Q3 FY27 GUIDE

\$108.0BFY28 GROWTH
GUIDE**~70%**

The one-paragraph version — what's changed since the August report. NVIDIA reported Q2 FY27 on August 26: revenue of \$96.2B (+106% YoY) and Data Center revenue of \$89.0B (+117% YoY) both beat, extending the beat streak to fourteen straight quarters against the company's own guide. **The headline that actually moved the stock was forward-looking: CFO Colette Kress guided fiscal 2028 revenue growth of approximately 70%, calling it supply-constrained, and CEO Jensen Huang said demand is running even higher than that.** At the same time, management guided gross margin to a trough of 71–72% in Q4 FY27 — a real, disclosed cost event, not speculation — tied explicitly to memory (HBM/DRAM) scarcity that Kress said is "being driven in large part by the AI buildout itself." Supply-related commitments more than doubled quarter over quarter, from \$119B to \$279B, overwhelmingly for memory procurement. **Strip the noise again and the pattern from the August report repeats: \$0.24 of Q2's \$2.46 GAAP EPS was a gain on NVIDIA's own equity portfolio (now disclosed to include a ~\$21B SpaceX stake, on top of OpenAI, Anthropic, CoreWeave, Nebius, Intel, and others), not chip revenue.** Re-run against management's own new guidance rather than my prior estimates, the scenario math gets more favorable, not less: the reverse-DCF now shows a 10% hurdle clearing at just ~13%/yr EPS growth off a 23x multiple — below what the bear case alone implies. The portfolio now holds 17 shares (0.23% of NAV, initiated since the last report); the call is unchanged in direction and stronger in magnitude — **add, staged, with the concentration ceiling doing more of the sizing work than the buy/hold decision.**

1. What actually happened: Q2 FY27 in context

The print

NVIDIA reported the quarter ended July 26, 2026 after the close on August 26. Revenue of \$96.22B beat the company's own \$91.0B guide midpoint by 5.7% and consensus (\$92.17B, LSEG) by 4.4% — the fourteenth consecutive quarter above NVIDIA's own outlook, though the size of the beat has been shrinking from an 8%+ average earlier in the cycle toward the 4–6% range now, a normal maturation pattern rather than a red flag on its own. Data Center revenue was \$89.0B (+117% YoY, +18% QoQ, ~92% of total), driven by the Blackwell Ultra ramp. GAAP and non-GAAP gross margin both came in at 75.0%. GAAP diluted EPS was \$2.46; non-GAAP was \$2.22.

Revenue is up 14.7x in four years, and FY2027 alone should be ~83% higher than FY2026



Sources: NVIDIA 10-K/8-K filings FY2023–FY2026 actuals; FY2027E is consensus (post-Q2-print, ~\$396B, CNBC/company-tracker aggregation, Sept 2026), not company guidance — NVIDIA has not issued full-year guidance. Grey bar denotes estimate.

The forward-looking number that actually mattered: FY2028 guidance

Q3 FY27 revenue was guided to \$108.0B (±2%), itself above the \$104.2B consensus. But the reason the stock moved was Kress's explicit fiscal-2028 framing: **approximately 70% revenue growth, characterized as supply-constrained** — meaning management's own limiting factor is manufacturing and memory capacity, not customer demand. Huang went further on the call, stating demand is running above that 70% figure. Applied to a ~\$396B FY2027 consensus base, 70% growth implies roughly **\$673B of FY2028 revenue** — a figure that would put NVIDIA ahead of Apple and Alphabet by revenue among large-cap US tech, per CNBC's own calculation, second only to Amazon.

The cost side: a disclosed, not speculative, margin event

Gross margin is guided to **decline further and bottom at 71–72% in Q4 FY27**, down from 75.0% in Q2, before recovering to 72–73% in FY2028 as previously-announced price increases take effect starting Q1 FY28. Kress was explicit that this is memory-driven: "memory scarcity today is being driven in large part by the AI buildout itself" — NVIDIA is competing with its own customers' DRAM/HBM demand for the same scarce supply. This is a real, guided cost headwind, not a hypothetical risk, and it directly informs the margin assumptions in §7.

2. Strip the noise: the equity-marks pattern continues

The August report's central finding was that Q1 FY27's GAAP EPS included a \$15.9B equity-securities gain the company's own non-GAAP figure excludes. The same pattern repeated in Q2, at a smaller scale, and the company disclosed considerably more about what's actually in that portfolio.

\$0.24 of Q2 FY27's \$2.46 GAAP EPS was an equity mark, not chip revenue



Source: NVIDIA Q2 FY27 CFO commentary (company-disclosed \$7.771B net gain on equity securities; per-share impact of \$0.24 is the disclosed GAAP/non-GAAP EPS gap). Q1 FY27's equivalent gap was \$0.52 on a \$15.9B gain — the size of the mark is volatile quarter to quarter, which is itself evidence it's non-operating.

Trailing P/E on the screen (28.5x) still understates the clean multiple (~32x). Summing the trailing four quarters of company-reported non-GAAP EPS ($\$1.30 + \$1.62 + \$1.87 + \$2.22 = \$7.01$) against trailing GAAP EPS ($\$1.30 + \$1.76 + \$2.39 + \$2.46 = \$7.91$) puts clean trailing P/E at roughly 31.9x versus the 28.5x GAAP figure everyone quotes. The gap has narrowed proportionally from the August report (was ~4pts on a 33x base; now ~3.4pts on a 28.5x base) as the equity marks have moderated in size, but the direction of the finding is unchanged and the same non-GAAP-methodology caveat applies (NVIDIA began including stock-based compensation in non-GAAP starting Q1 FY27, so the trailing sum still blends two definitions).

What's now disclosed about the equity portfolio

NVIDIA's Q2 FY27 CFO commentary named specific holdings for the first time in this level of detail: stakes in CoreWeave, Nebius, Intel, Nokia, Coherent, Synopsys, and — the largest single disclosed position — **roughly \$21B in SpaceX**. This is a meaningfully broader and more diversified basket than the OpenAI/Anthropic-centric picture in the August report, which is a genuine mitigant to the concentration concern raised then. It does not resolve the more specific circular-financing question addressed in §6.

3. Moat and competitive landscape — updated

What's unchanged from the August report

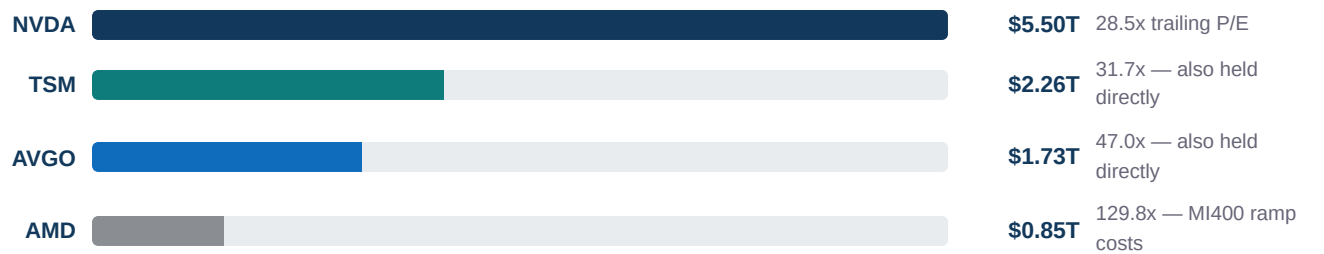
- **CUDA remains a twenty-year toll booth.** No new evidence this quarter changes that assessment.
- **Custom silicon still owns the inference layer disproportionately.** Google TPU, AWS Trainium, Microsoft Maia, and Meta MTIA continue scaling; nothing in the Q2 print addressed this competitively, though NVIDIA's own growth numbers show the merchant-GPU pie is still expanding fast enough that share loss at the margin hasn't yet shown up in the top line.

What's new

- **The AWS/Vera deal is a genuine positive data point on hyperscaler commitment.** Amazon announced it will buy 2 million NVIDIA GPUs and deploy NVIDIA's new "Vera" CPU (some standalone, some integrated with Rubin) — direct evidence a hyperscaler with its own competing silicon program (Trainium) is still committing hardware dollars to NVIDIA at scale. This modestly counters the "hyperscalers are defecting to their own chips" framing, without resolving it.
- **Memory supply is now a shared constraint across the whole industry, not an NVIDIA-specific risk.** The GM guidance directly ties to DRAM/HBM scarcity that NVIDIA's own demand is contributing to. This is a new, disclosed risk vector that didn't feature in the August report's risk table.

Peer comparison (close, 9/9/26)

NVIDIA's market cap is 2.4x TSMC and 6.5x AMD



Source: Robinhood live quotes and fundamentals, 9/9/26 close. AVGO and TSM are both existing direct holdings in this portfolio — see §7 for the concentration implications.

4. Capital allocation — updated

Item	Detail
Dividend	\$0.25/quarter (\$1.00 annualized, ~0.45% yield); ex-dividend Sept 10, 2026 (tomorrow), payable Oct 1, 2026
Buyback	\$80.0B authorization added May 2026; pace continuing through Q2 FY27
Supply commitments	\$279B, up from \$119B last quarter — "primarily related to the procurement of memory," per CFO commentary. This is the balance-sheet counterpart to the GM guidance in §1.
Equity/ecosystem investments	Ongoing; SpaceX (~\$21B), CoreWeave, Nebius, Intel, Nokia, Coherent, Synopsys now named specifically. New Aug-2026 SB Energy guarantee: ~4.25 GW of credit support for land/power/shell buildout
Guarantee exposure (disclosed cap)	Maximum gross exposure under all land/power/shell lease-default guarantees: \$3.5B — a real, disclosed ceiling, smaller than the headline aggregate figures analysts have floated
Data center leases	New disclosure: upcoming leases carry terms up to 20 years, commencing between Q3 FY27 and FY2033 — NVIDIA is now a long-duration infrastructure counterparty, not just a chip vendor

The honest read: the \$119B → \$279B jump in supply commitments in a single quarter is the single largest capital-allocation move this quarter, and it is almost entirely a memory bet, not a compute bet. Management is pre-committing enormous sums to secure DRAM/HBM supply for Rubin — a defensible response to a real scarcity, but it means NVIDIA is now taking meaningfully more inventory and supply-chain risk onto its own balance sheet than it was three months ago.

5. The circular-financing question, updated

CFO Kress addressed the criticism directly on the earnings call for the first time in this level of detail, describing the ecosystem investments as stakes in "once-in-a-generation companies" with equity returns she expects to be excellent, rather than as demand manufacturing. On the same call, an analyst estimated the sum of NVIDIA's disclosed multi-year commitments — equity investments plus supply and lease obligations combined — at roughly **\$500B**. Management did not dispute the arithmetic, only the framing.

Red flag, updated: the portfolio is bigger and better-disclosed, which cuts both ways.

The August report flagged \$18.6B of Q1 FY27 investments concentrated in OpenAI and Anthropic-adjacent names, plus a trimmed Ohio/OpenAI backstop. Q2 FY27 added a named, diversified list (SpaceX at ~\$21B, CoreWeave, Nebius, Intel, Nokia, Coherent, Synopsys) and a new ~4.25GW SB Energy guarantee. **The good news is diversification:** a \$21B SpaceX stake is not circular in the way an OpenAI stake is — SpaceX does not buy NVIDIA GPUs at anywhere near the scale of an AI lab, so its inclusion genuinely dilutes the "customer-funds-itself-to-buy-our-chips" critique. **The less good news is scale:** the disclosed commitment stack (equity + supply + lease guarantees) now runs to roughly \$500B by outside analyst tallies, even with a modest \$3.5B hard cap on guarantee-specific exposure. Kress's on-the-record defense — that these are return-generating investments, not demand subsidies — is a claim that will only be testable in arrears, over years, not from this quarter's print. Stripped of spin: NVIDIA has gotten more transparent about this book, which is good, and the book has also gotten bigger, which is the thing to keep watching.

6. Key risks — what changed since August

Risk	Severity	What changed this quarter
Memory/HBM scarcity and margin	HIGH (new)	Now a disclosed, guided item, not speculation: GM trough 71–72% in Q4 FY27, tied explicitly to memory scarcity NVIDIA's own buildout is worsening. Watch whether the guided 72–73% FY28 recovery actually materializes once price increases land in Q1 FY28.
Custom-silicon share loss at inference	HIGH	Unchanged qualitatively; the AWS/Vera deal is a modest positive counter-data-point, not a resolution.
Circular financing / ecosystem commitment scale	MED-HIGH	Portfolio is more diversified (SpaceX, Intel, Nokia, Synopsys) but larger in aggregate (~\$500B analyst estimate). See §5.
Customer concentration / capex digestion	HIGH	Unchanged; ~92% of revenue now Data Center, up from ~90% in the August report.
Multiple re-rating risk	MEDIUM	Modestly eased — forward P/E (~24x) actually sits lower relative to the improved earnings outlook than it did in August, since consensus estimates rose faster than the share price.
China policy	MEDIUM	Unchanged; Q3 FY27 guidance still assumes zero China Data Center compute revenue.
Inventory/supply-chain risk on NVIDIA's own balance sheet	MEDIUM (new)	Supply commitments more than doubled to \$279B in one quarter. If the demand outlook disappoints even modestly, this is now a much larger number to unwind than it was in August.

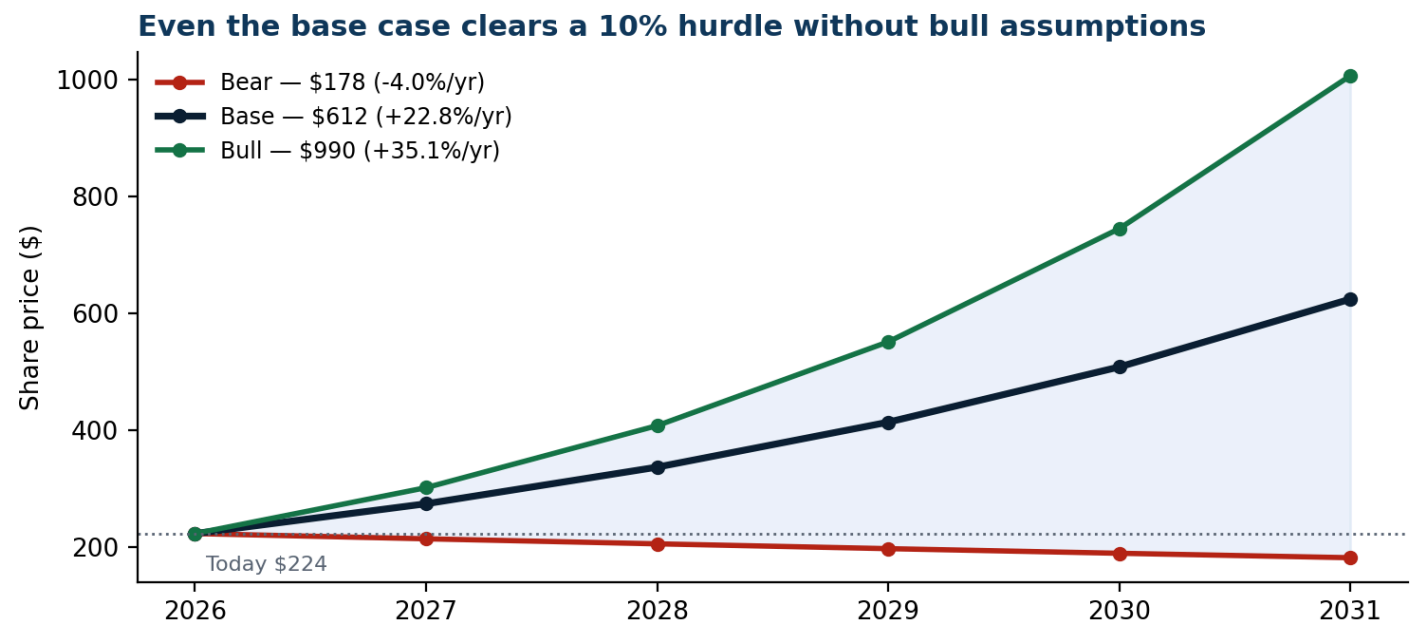
7. Valuation and five-year outlook — reanchored to guidance

The setup. At \$223.70, NVDA trades at roughly 24x consensus FY2027E clean EPS (~\$9.34) and 28.5x trailing GAAP earnings — both metrics essentially unchanged from the August report's own-history comparison (below the 46x/60x 3-/5-year averages), even though the earnings outlook has meaningfully improved. That combination — flat multiple, higher guided growth — is why this update is more constructive than the August report, not less.

Five-year scenarios (hold to FY2031), reanchored to the FY2028 guide

Scenario	FY28 growth	FY2031 rev	Net margin	EPS	Exit P/E	Price	5-yr IRR
Bear — FY28 badly misses the 70% guide, growth decelerates fast, memory margin pressure persists	+35%	~\$660B	44%	~\$11.85	15x	\$178	-4.0%/yr
Base — management's own FY28 guide holds, decelerating over FY29-31	+70%	~\$1,208B	54%	~\$26.62	23x	\$612	+22.8%/yr
Bull — NVIDIA under-promises again (as it has 14 straight quarters), demand exceeds even the 70% figure as Huang suggested	+85%	~\$1,575B	57%	~\$36.65	27x	\$990	+35.1%/yr

IRR includes the (negligible) dividend. **My assumptions, not consensus** — the FY28 growth rates are anchored to management's own disclosed guidance range (bear = a meaningful miss, base = the guide taken at face value, bull = demand exceeds guide per Huang's own comment), FY29-31 are my deceleration assumptions. Diluted share count held flat. Probability-weighted (30% bear / 45% base / 25% bull), expected IRR is **+17.8%/yr** — up from +12.7%/yr in the August report, because the anchor growth rate itself moved, not because I made more optimistic assumptions on top of it.



Scenario paths from \$223.70 (9/9/26 close) to FY2031, per the table above.

Scenario spread: even the bear case only gives back 4%/yr, not a collapse



What is priced in at \$223.70?

Run it backwards. To earn a market **10%/yr for five years**, NVDA needs to reach roughly **\$353 by FY2031**. At a flat ~23x exit multiple, that requires FY2031 EPS of about \$15.35 — an EPS CAGR of only ~13.2%/yr off the FY2027E base of \$9.34. **That**

bar is now lower, in relative terms, than it was in the August report (was ~11%/yr off a smaller earnings base and a similar multiple; the growth outlook re-rated up while the price barely moved), and it sits comfortably below every scenario in the table above except the bear case. The market is still not pricing NVDA's base case as if it requires the bull case to work.

Fit with your portfolio's growth objective

Yield (~0.45%) remains irrelevant to the pension-funded income floor. **The position today is genuinely small** — 17 shares, 0.23% of NAV per the September 4 export — well inside the 6–8% concentration band that governs every AI-infrastructure name in this book. **The binding constraint on adding more is not conviction, it's the combined cluster.** NVDA now sits alongside AVGO, TSM, MSFT, GOOG, AMZN, QCOM, SOXQ, GEV, GRID, VIS, and ASML in this portfolio's AI-capex exposure — a wider list than the August report's, since ASML and VIS have since been added. Sizing any further NVDA add should be measured against that combined exposure, not against NVDA's standalone attractiveness, which this report's math continues to support. VXUS/AVUV remain the standing first-priority use of new capital ahead of any equity add, NVDA included.

The three things to actually watch

1. **Q3 FY27 print, Tuesday November 17, 2026.** Guided \$108.0B revenue ($\pm 2\%$); watch whether the beat-streak continues and whether GM tracks toward the guided 71–72% Q4 trough on schedule.
2. **Whether the FY28 price increases actually restore margin to 72–73% starting Q1 FY28.** This is a specific, dated, falsifiable management claim — if Q1 FY28 GM prints below 72%, the memory-cost thesis is worse than guided.
3. **The pace of supply-commitment growth.** \$119B → \$279B in one quarter is a fast build. A further comparable jump next quarter would be worth flagging as balance-sheet risk outpacing revenue growth, even if revenue growth itself stays strong.

Bottom line

The core finding from the August report is intact and, on the numbers, strengthened: NVIDIA does not require underwriting the bull case to clear a 10% hurdle from here, and that was true before Q2 FY27 confirmed management's own growth outlook is now more aggressive than what this report had been modeling independently. The equity-marks distortion in GAAP EPS is smaller this quarter but structurally the same phenomenon, and it's now better-disclosed. The new, real risk is margin, not growth — a guided, dated, and specific gross-margin trough tied to memory scarcity that the company is honest about contributing to itself.

My call: maintain ADD, keep building the position in stages, and let the AI-infrastructure cluster ceiling — not this report's conviction score — be the limiting factor on size. The 17-share starter is appropriately small for a position with this much idiosyncratic and correlated risk sitting on top of a genuinely improving fundamental picture. The next dated catalyst worth resizing around is the November 17 print, specifically the margin trajectory rather than the revenue line, which has beaten for fourteen consecutive quarters and is the less interesting question at this point.

Sources & disclosures. Primary: NVIDIA Q2 FY27 Form 8-K, press release, and CFO commentary (Aug 26, 2026); Q2 FY27 earnings call transcript; NVIDIA Q1 FY27 and FY2026 filings (prior-period comparisons). Portfolio data: retirementportfolio38.xlsx (Export sheet, modified 9/4/26; total NAV \$1,700,553). Market data: Robinhood live quotes and fundamentals, 9/9/26 close. Consensus estimates: Simply Wall St, CNBC (FY2027E ~\$396B revenue / ~\$9.34 EPS; FY2028E ~\$673B implied from management's 70% growth guidance), as of early Sept 2026. Circular-financing detail: Yahoo Finance/CNBC coverage of the Aug 26 earnings call (Aug 2026).

Known uncertainties, stated plainly: (1) FY2027E and FY2028E figures mix actuals (Q1-Q2), company guidance (Q3), and estimates (Q4, FY28) — labeled throughout, not a single consistent source. (2) FY2028 scenario growth rates are anchored to management's own guidance range but the FY29-31 deceleration path is my assumption, not consensus or guidance. (3) The trailing clean-EPS sum still blends two non-GAAP methodologies (pre/post SBC-inclusion), as flagged in the August report. (4) The “~\$500B” aggregate commitment figure is an analyst's on-the-call estimate that management did not confirm or deny — treat as directionally sourced, not company-disclosed. (5) Position size (17 sh, 0.23% NAV) is as of the September 4, 2026 portfolio export; today's live price implies a slightly different current market value. (6) Every figure here is as of 9/9/26 and will be stale after the November 17, 2026 print.

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing AI-capex concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.